

9-2e Other Benefits of International Trade

The conclusions of the Isolandian economics team are based on the standard analysis of international trade. Their analysis uses the most fundamental tools in the economist's toolbox: supply, demand, and producer and consumer surplus. It shows that there are winners and losers when a nation opens itself up to trade, but the gains of the winners exceed the losses of the losers.

The case for free trade can be made even stronger, however, because there are several other economic benefits of trade beyond those emphasized in the standard analysis. In a nutshell, here are some of these other benefits:

- **Increased variety of goods.** Goods produced in different countries are not exactly the same. German beer, for instance, is not the same as American beer. Free trade gives consumers in all countries greater variety to choose from.
- **Lower costs through economies of scale.** Some goods can be produced at low cost only if they are produced in large quantities—a phenomenon called *economies of scale*. A firm in a small country cannot take full advantage of economies of scale if it can sell only in a small domestic market. Free trade gives firms access to larger world markets, allowing them to realize economies of scale more fully.
- **Increased competition.** A company shielded from foreign competitors is more likely to have market power, which in turn gives it the ability to raise prices above competitive levels. This is a type of market failure. Opening up trade fosters competition and gives the invisible hand a better chance to work its magic.
- **Increased productivity.** When a nation opens up to international trade, the most productive firms expand their markets, while the least productive are forced out by increased competition. As resources move from the least to the most productive firms, overall productivity rises.
- **Enhanced flow of ideas.** The transfer of technological advances around the world is often thought to be linked to the exchange of the goods that embody those advances. The best way for a poor agricultural nation to learn about the computer revolution, for instance, is to buy some computers from abroad rather than trying to make them domestically.

Thus, free trade increases variety for consumers, allows firms to take advantage of economies of scale, makes markets more competitive, makes the economy more

productive, and facilitates the spread of technology. If the Isolandian economists also took these benefits into account, their advice to the president would be even more forceful.

QuickQuiz

3. When the nation of Ectenia opens itself to world trade in coffee beans, the domestic price of coffee beans falls. Which of the following describes the situation?
 - a. Domestic production of coffee rises, and Ectenia becomes a coffee importer.
 - b. Domestic production of coffee rises, and Ectenia becomes a coffee exporter.
 - c. Domestic production of coffee falls, and Ectenia becomes a coffee importer.
 - d. Domestic production of coffee falls, and Ectenia becomes a coffee exporter.
4. When a nation opens itself to trade in a good and becomes an importer,
 - a. producer surplus decreases, but consumer surplus and total surplus both increase.
 - b. producer surplus decreases, consumer surplus increases, and so the impact on total surplus is ambiguous.
 - c. producer surplus and total surplus increase, but consumer surplus decreases.
 - d. producer surplus, consumer surplus, and total surplus all increase.
5. If a nation that imports a good imposes a tariff, it will increase
 - a. the domestic quantity demanded.
 - b. the domestic quantity supplied.
 - c. the quantity imported from abroad.
 - d. the efficiency of the equilibrium.

6. Which of the following trade policies would benefit producers, hurt consumers, and increase the amount of trade?
- a. the increase of a tariff in an importing country
 - b. the reduction of a tariff in an importing country
 - c. starting to allow trade when the world price is greater than the domestic price
 - d. starting to allow trade when the world price is less than the domestic price

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Printed By: Mike Benton (mbento6@wgu.edu)

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